Making routes sustainable

The third pillar of the redesign focuses on improving the economics for airlines. New regional air routes rarely become profitable overnight. They need time to build demand and establish travel habits. Under the original Udan, VGF was available for just three years. Once that support ended, airlines exited sectors that remained financially fragile.

The Modified Udan extends that support window to five years while gradually tapering assistance as routes mature—airlines will receive only 75 per cent of the support in the third year, 50 per cent in the fourth and 25 per cent in the fifth. The government has earmarked Rs 10,043 crore towards VGF over the scheme's 10-year duration. Route exclusivity, however, remains capped at three years, allowing additional support without creating a prolonged monopoly for any single carrier.

At the same time, eligibility norms have been tightened. Airlines can no longer bid for routes without an air operator's permit, while routes may be withdrawn and re-auctioned if carriers fail to commence operations within stipulated timelines. States, too, will have a greater say, with their recommended routes receiving priority during allocation.

The scheme, for the first time, also seeks to secure landing and take-off slots at the main metros at "viable timings". It even raises the threshold for an airport to be considered adequately 'served'. Previously, that meant more than seven departures a week. Under the revised criteria, an airport must have more than 14 weekly departures, serve more than two city pairs and handle over 40,000 passengers annually.

This is accompanied by other smaller but significant adjustments aimed at closing loopholes. The revised scheme removes the earlier cap that limited subsidised fares to a maximum of 40 seats. On larger planes with more than 80 seats, half the cabin can now be sold at capped fares, preserving Udan's affordability objective. The government also plans to develop 200 modern helipads, at a cost of Rs 3,661 crore, in hilly and island regions where conventional runways are impractical.



"The new Udan scheme is conceived as an additional enabler for the connectivity of the Tier-2 and 3 cities"

RAM MOHAN NAIDU
Union Civil Aviation Minister

"The core challenge is that regional aviation remains a difficult business, and subsidies alone can't change that"

KAPIL KAUL, *CEO, CAPA India & Middle East*



The business reality

Industry insiders see the modified scheme as an attempt to nurture more domestic carriers, broadening competition in a market dominated by IndiGo and Air India. Kapil Kaul, CEO of aviation advisory CAPA India & Middle East, however, believes that while the redesign addresses some of the shortcomings of the first phase, it does not alter the underlying commercial reality. As domestic aviation expanded, airlines focused on trunk routes, where aircraft fly fuller and utilisation is higher. Regional operations work differently. Smaller aircraft serving thinner markets generate lower returns, and profitability often disappears once subsidies end. Better airports and longer funding windows can soften those constraints, but they cannot eliminate them. "The core challenge with Udan is that regional aviation remains a difficult business, and subsidies alone can't change that," says Kaul.

For Manoj Chacko, MD & CEO of FLY91, one of the regional carriers the scheme is intended to support, the modified scheme does little to change how airlines finance fleet expansion. "Lessors primarily look at an airline's financial strength, its shareholders and the sustainability of its business model before placing aircraft," he explains. "What the new scheme does do is strengthen the regional aviation ecosystem, particularly by providing greater support for underserved airports. That's a welcome step, but access to aircraft will still depend on the fundamentals of the airline." Where Chacko does see a meaningful shift is in the VGF extension, which, he says, "gives airlines more time to build demand on regional routes". He also points to tighter eligibility norms for bidders as another significant improvement. "Earlier, even entities with just a no-objection certificate (NOC) could participate, and many awarded routes never became operational because those airlines never took off," he says.

That, coupled with the broader boom in Indian aviation, underpins the government's confidence this time. "We have been maintaining the all-time high domestic traffic numbers even during the time of geopolitical tensions," says Naidu. For the minister, the next phase of aviation growth will not come from already saturated trunk routes, but from smaller towns. The state's role, he argues, is to create the conditions that allow those markets to emerge rather than expect commercial forces to do so unaided. The test for the redesigned scheme, then, is straightforward: whether it can keep more regional routes commercially viable long after government support tapers off. ■